Great Financial Crisis, more than a decade of meager interest rates had driven investors, even conservative ones, into larger and larger equity allocations. TINA ("There Is No Alternative") thinking drove them out of low-yielding bonds and into stocks and, for many endowments and pension funds, into illiquid and often risky alternative investments such as private equity and venture capital. This led to sizable excesses in the valuation of rapidly growing but still unprofitable businesses, many of which were not expected to produce their first profits or positive cash flows for years. Many slower-growing companies, in contrast, significantly lagged the market indices, trading at levels where they had become quite undervalued compared, for example, to what a private buyer might pay for them.

The shares of these more staid companies have often failed to attract large numbers of buyers in this market environment, because the disappointing performance of "value" strategies drove capital flows instead into "growth." The thinking was circular: put more money into what has worked, regardless of price, and avoid what hasn't worked, also regardless of price. This drives up the price of what has worked while reducing the price of what hasn't. This may seem like value hell, but it is actually driving prices in the direction of value heaven—meaning, exactly the sort of environment that Graham wrote about, a market in which undervalued companies were as unloved as overvalued companies were adored, one in which bargains became plentiful.

Value investors can build edge by taking a view that is longer-term than their competitors'. Because of the short-term, relative performance orientation of most investors and the constant performance comparisons they are subjected to, they can find it hard to look past a valley to imagine the next peak. Not many want to buy a stock if the next few quarters look disappointing, since stocks that fail to beat Wall Street's quarterly estimates are regularly thrashed. Even